



Variable Pay Policy Ver. 1.0.0 2024

(APIS INDIA LIMITED)

1. Introduction

This Variable Pay Policy is designed to reward employees for achieving and exceeding sales targets. The policy aims to incentivize performance, drive business growth, and align individual goals with the company's strategic objectives.

2. Scope

This policy applies to the employees who are on managerial and above roles in all SALES, HO and FACTORY and roles directly involved in sales activities, as determined by the management.

3. Policy Details

3.1. Sales Target Setting

- Sales targets will be set at the beginning of each performance period during ABM.
- Targets will be based on historical performance, market conditions, and strategic business goals.
- Sales employees will be informed of their individual or team targets start of the year.

3.2. Variable Pay Structure

- The variable pay will be structured as a percentage of the CTC.
- Different designation in sales will correspond to different percentages of variable pay, as outlined below:
 - **Business Head/OT Head** : 15% of CTC
 - **ZSM/RSM/ KAM** : 12% of CTC
 - **ASM** : 10% of CTC
 - **CORPORATE** : 8% of CTC (M3-Grade Above)
 - **FACTORY** : 8% of CTC (M3-Grade Above)

Note:

- **Sales:** FY 24-25 all existing ASM has been excluded from variable pay. ASM joining after 01-06-24 will be part of variable pay
- **Note for Corporate:** Deputy Manager and assistant manager has been excluded.
- **Note for Factory:** Deputy Manager and assistant manager has been excluded.



3.3. Calculation and Payment

- Variable pay will be calculated at the end of each quarter based on the actual sales (Including GST, excluding sales return) achieved percentage on given target.
- Payment of variable pay will be made after the end of each quarter.
- If an employee's tenure ends before the quarter concludes, variable pay will be prorated based on the actual period worked and sales achieved on given target.
- For onboarding of new employees, variable pay will be prorated based on the actual period worked and sales achieved on given target.

Note:

- Sales support and marketing team's variable pay will be calculated based on B2C target VS achievement.
- B2B teams variable pay will be calculated based on B2B target VS achievement.
- Export team variable pay will be calculated based on Export target VS achievement.
- Corporate and factory team variable pay will be calculated based on total of B2B, B2C & Export target VS achievement.
- LOP days will be not considered for variable pay

3.4. Performance Review

- A performance review will be conducted at the end of each quarter by HR department.
- The review will assess actual sales against targets as per AOP

3.5. Dispute Resolution

- Any disputes regarding the calculation or payment of variable pay should be raised in writing to the HR department within two weeks of payment.
- Disputes will be reviewed and resolved within one month of receipt.

4. Roles and Responsibilities

4.1. Employees

- Strive to meet and exceed sales targets.
- Maintain accurate records of sales activities and performance.

4.2. Human Resources

- Oversee the implementation of the Variable Pay Policy.
- Ensure accurate calculation and timely payment of variable pay.
- Address and resolve any disputes regarding variable pay.



5. Policy Review

This policy will be reviewed annually to ensure its continued relevance and effectiveness. Any changes will be communicated to all affected employees in a timely manner.

6. Effective Date: This policy is effective from 01-04-24 and will remain in force until further notice.